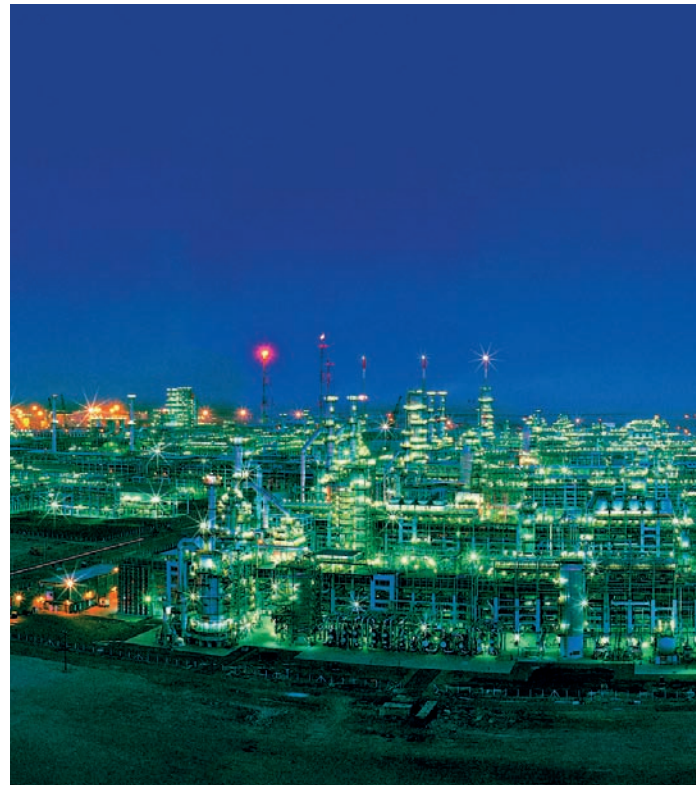
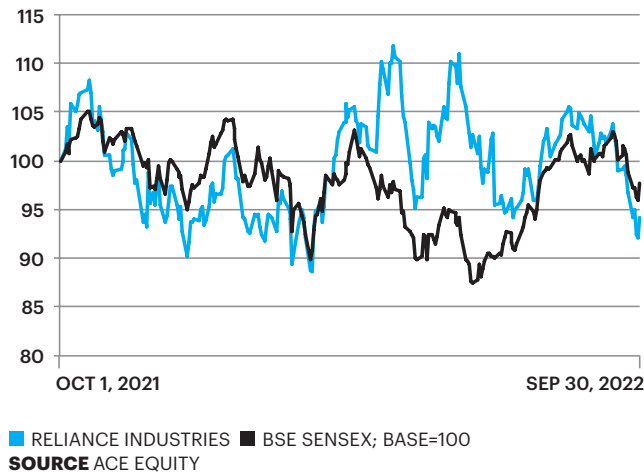


MARKET TRACKER

RIL's stock has underperformed the benchmark BSE Sensex in the past one year ended September 30, 2022



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company. In 2014, more than 95 per cent of the revenue came from older businesses. Currently, revenues are equally divided between the old and the new.

What we see today is an entity where the old and the new are seamlessly positioned. It is a new-look RIL. And, not surprisingly, the markets have given the stock a thumbs up in the last five years.

AFTER THE SECOND quarter results for the current fiscal were announced, Ambani spoke of how RIL's consumer businesses continued to scale new milestones every quarter. Be it the addition of new retail stores or higher net subscribers in the case of Jio (telecom) or the beta trial for the much-awaited 5G services, the story in the new Reliance (2.0 as some would like to call it) continues unabated. "Reliance Industries has effectively used huge cash flows from its legacy petrochemicals business to build the telecom and retail for-

ays over the past decade or so," explains Gaurav Dua, Head (Capital Market Strategy), Sharekhan by BNP Paribas. According to him, these two new business verticals have not only gained a position of leadership today, but are highly profitable as well. "In the process, they are making a material contribution to the operating profits at a consolidated level."

For the second quarter of FY23, the Ebitda (earnings before interest, taxes, depreciation and amortisation) for the two businesses (retail and telecom) together stood at ₹16,705 crore. That is nearly half of the total Ebitda of ₹33,336 crore that RIL posted at a consolidated level. In the preceding quarter, the corresponding share for retail and telecom was 45 per cent. A caveat here: the oil-to-chemicals margins in the second quarter were affected by a windfall tax or a special additional excise duty levied on export of fuels and lower polymer deltas. Dua points out that both retail and telecom have attracted invest-

ments from marquee investors and contribute to over two-thirds of RIL's valuation. "This is in sharp contrast to practically nil (or even negative in some cases) value ascribed by analysts to both the businesses five to six years ago."

The conglomerate first ventured into telecom through Reliance Infocomm in 2002, but that went to Ambani's younger brother, Anil, three years later when the group's businesses were demerged. In 2005, RIL ventured into retail with the launch of Reliance Fresh. However, the past decade has seen a renewed thrust in consumer-facing businesses, most notably the re-entry into telecom through Jio (said to be oil spelt backwards), and the story in retail that now has a presence across formats and a position of strength in most of them. Just by way of numbers, Jio has a subscriber base of 419 million (the highest of all operators in India), while the retail business has a network of 16,617 stores across 54.5 million sq. ft.

In telecom, the approach was